NDIS Quality and Safeguards Commission

Our ref: IR (10) 22/23 and ICM23/198

Tom & Co Legal Pty Ltd
PO Box Z5567
Perth WA 6000

Attention: Mr Tom Monks

By email to: info@tomandcolegal.com.au

Notice of internal review decision
Section 100 of the *National Disability Insurance Scheme Act 2013* (NDIS Act)

Dear Mr Monks

I refer to the email received by the NDIS Quality and Safeguards Commission (**the NDIS Commission**) on 21 February 2023 requesting an internal review of the decision made on 20 December 2022 to impose a banning order against your client, Forward Focused Group Pty Ltd (**FFG**), for a period of 10 years under section 73ZN(1)(a) of the NDIS Act (**the original decision**).

I am the delegate of the NDIS Commissioner for the purposes of section 100 of the NDIS Act, and am authorised to make a decision on this internal review.

The internal review decision
I have decided to **vary** the original decision. This means the banning order made against FFG remains in place, however it is changed or altered in some respect.

The variation I have decided to impose is to reduce the duration of the banning order from 10 years to 3 years. In my view, this corresponds with the amount of time it is reasonably expected to take for criminal proceedings relating to FFG to be finally determined. Upon determination of those proceedings, the banning order against FFG can be revisited and consideration given to whether it should be varied any further (or revoked entirely).

I enclose a copy of the banning order as varied, and the reasons for my review decision at **Attachments A and B** to this notice.

Consequences of review decision
The original banning order made against FFG is not disturbed and continues to have effect from **5:30pm on 20 December 2022 (AWST), however it will only remain in force until 12:00am on 21 December 2025 (AWST).**

Engaging in conduct that breaches a banning order is a contravention of section 73ZN(10) of the NDIS Act. A contravention of a banning order may attract a civil penalty of up to 1,000 penalty units, however for a corporation this may be up to 5 times the amount of the maximum penalty, amounting to $1,375,000.

External review rights

If FFG is dissatisfied with my review decision, it may apply to the Administrative Appeals Tribunal (AAT) for a review of the decision. I note this internal review decision was made outside of the statutory timeframe imposed by section 100 (6A) of the NDIS Act. However, FFG is still able to apply within 28 days after receiving this notice of decision to the AAT for review of this decision pursuant to section 29(3)(b)(i) of the *Administrative Appeals Tribunal Act 1975* (Cth). Further information about applying to the AAT for a review can be found at https://www.aat.gov.au/apply-for-a-review/national-disability-insurance-scheme-ndis or by contacting the AAT on 1800 228 333.

Variation or revocation of banning order

Section 73ZO of the NDIS Act allows the NDIS Commissioner to vary or revoke a banning order at any time, on her own initiative, or in response to an application by the person against whom the order was made. If FFG is minded to request a variation or revocation of the banning order against it, an application must be in accordance with the matters set out in section 73ZO of the NDIS Act.

Contact details

Should you have any queries about this matter, please do not hesitate to contact Pascal Moussa, Lawyer, on 02 9942 5726 or at pascal.moussa@ndiscommission.gov.au.

Yours sincerely



Sian Leathem

Complaints Commissioner

NDIS Quality and Safeguards Commission

8 June 2023

Encl: Attachment A – Banning order (varied on 8 June 2023) issued to FFG

Attachment B – Statement of Reasons for Internal Review Decision

NATIONAL DISABILITY INSURANCE SCHEME ACT 2013 (CTH)
SECTION 73ZN BANNING ORDER

I, Sian Leathem, as delegate of the Commissioner of the NDIS Quality and Safeguards Commission under the *National Disability Insurance Scheme Act 2013* (the NDIS Act), make this banning order with respect to **Forward Focused Group Pty Ltd.**

I make the banning order under section 73ZN(1)(a) of the NDIS Act on the basis that the registration of Forward Focused Group Pty Ltd as a registered NDIS provider was revoked on 20 December 2022.

Pursuant to section 73ZN(1)(a) of the NDIS Act, I prohibit Forward Focused Group Pty Ltd from providing supports or services, directly or indirectly, to NDIS-funded participants for a period of three (3) years from the date that this order takes effect.

My reasons for making this order are set out in the enclosed statement of reasons.

This order varies the banning order made on 20 December 2022.

This order takes effect from **20 December 2022 until 12:00am on 21 December 2025 (AWST).**



Sian Leathem

Complaints Commissioner

NDIS Quality and Safeguards Commission

8 June 2023

Attachment B

Statement of Reasons

Internal review decision – section 100 of the *National Disability Insurance Scheme Act 2013 (*NDIS Act)

Preliminary matters

1. This statement of reasons outlines why I have decided to vary the banning order made on 20 December 2022 under section 73ZN(1)(a) of the NDIS Act, which prohibited Forward Focused Group Pty Ltd (FFG) from providing supports and services, directly or indirectly, to NDIS-funded participants for a period of 10 years, effective from 5:30pm on 20 December 2022.

2. In this statement of reasons, I refer to the banning order made on 20 December 2022 as **the original decision**.

3. Section 99(1), table item 15 of the NDIS Act confirms the original decision can be subject to internal review (as it is identified as a 'reviewable decision').

4. Section 100(2) of the NDIS Act requires a request for review of a decision to be made within three months after receiving notice of the decision. I note FFG requested an internal review of the original decision within the statutory deadline.

5. Section 100(6A) of the NDIS Act requires an internal reviewer to make a decision either:

    a. confirming the reviewable decision;

    b. varying the reviewable decision; or

    c. setting aside the reviewable decision and substituting a new decision.

Role of the internal reviewer

6. In reviewing the original decision, my task was to make the correct or preferable decision in accordance with the law and any relevant policies of the NDIS Commission. In doing so, I considered the evidence that was before the original decision-maker, as well as any new evidence that was before me at the time of making my decision.

7. In deciding what is the correct or preferable decision, I needed to be satisfied on the balance of probabilities of any findings of fact that I made.

Decision

8. I have decided to **vary** the original decision.

9. The variation I have decided to impose is to reduce the duration of the banning order from 10 years to 3 years. In my view, this corresponds with the amount of time it is reasonably expected for court proceedings that relate to FFG to be finally determined. Upon determination of those proceedings, the banning order against FFG can be revisited and consideration given to whether it should be varied any further (or revoked entirely).

10. The banning order made on 20 December 2022 (and varied on 8 June 2023), therefore, will remain in place until **12:00am on 21 December 2025 (AWST)**, unless it is varied or revoked earlier.

Materials on which my findings are based

11. In coming to my decision, I had regard to the following material:

    a. the notice and statement of reasons for the original decision, dated 20 December 2022;

    b. the NDIS Act;

    c. the NDIS Quality and Safeguards Commission Compliance and Enforcement Policy, version 2.0 dated June 2019;

    d. the NDIS Quality and Safeguards Commission Banning Order Policy, version 1.0 dated April 2022 (**the NDIS Commission Banning Order Policy**);

    e. the submissions of FFG's legal representative, Mr Tom Monks (Legal Practitioner Director of Tom & Co Legal Pty Ltd), relating to the decision proposed to be made by the original decision-maker, dated 30 November 2022;

    f. the submissions of Mr Monks, relating to FFG's application for internal review, dated 20 March 2023;

    g. materials which were before the original decision-maker, particularly:

        i. Briefing note (EC22-002000) relating to the notice of intention to make a banning order against FFG;

        ii. Briefing note (EC22-002581) relating to the decision to make a banning order against FFG;

        iii. the Magistrates Court of Western Australia Prosecution Notice, signed on 18 October 2022, in relation to the charges laid upon the former director of FFG, Mrs Vida Reid;

        iv. the Statement of Material Facts, dated 19 October 2022, prepared by the National Disability Insurance Agency (**NDIA**) and lodged in the criminal proceedings against Mrs Reid;

        v. Australian Securities and Investments Commission (**ASIC**) Company Extract for Forward Focused Group Pty Ltd;

    h. correspondence between the original decision-maker and Mr Monks, specifically:

        i. the letter from Mr Monks to the original decision-maker, dated 31 October 2022, seeking both an extension of time to make submissions and further information from the NDIS Commission;

ii. the letter from original decision-maker to Mr Monks, dated 15 November 2022, granting an extension of time to make submissions and refusing the request for further information; and

i. further relevant evidence that came to my attention during the course of the internal review, namely:

i. the sworn statement of NDIS participant, Ms Sarah-Jane Clulow, dated 11 October 2022;

ii. the sworn statement of NDIS participant, Ms Meghan Goodwin, dated 12 October 2022; and

iii. three complaints made to the NDIS Commission in relation to FFG's alleged involvement in fraudulent activity:

- complaint #: 4-37380907579;
- complaint #: 4-38279458621; and
- complaint #: 4-37833786005.

Relevant legislation

12. Section 73ZN(1)(a) of the NDIS Act gives the Commissioner (or her delegate) the power to 'make an order (*a banning order*) prohibiting or restricting specified activities by an NDIS provider, or by a person who was an NDIS provider, if the Commissioner has revoked the registration of the person as a registered NDIS provider.'

13. Under section 73ZN(3) of the NDIS Act, a banning order may apply generally or be of limited application, and may be permanent or for a specified period.

14. Section 73ZN(7) of the NDIS Act states that the Commissioner may only make a banning order against a person after giving the person an opportunity to make submissions to the Commissioner on the matter.

15. Section 73ZN(8)(b) of the NDIS Act states that section 73ZN(7) does not apply if the Commissioner's grounds for making the banning order are, or include, that the Commissioner has revoked the registration of the person as a registered NDIS provider.

16. Section 73ZN(9) sets out the various requirements surrounding any banning order made as follows:

'The Commissioner must:

(a) give the banning order to the person against whom the order is made; and

(b) include in the banning order a statement of reasons for the order; and

(c) if the banning order is against a person who is employed or otherwise engaged by an NDIS provider or is a member of the key personnel of an NDIS provider—notify the NDIS provider of the order as soon as possible.'

Background and procedural history of matter

17. From 19 November 2020 to 20 December 2022, FFG was a registered NDIS provider with the NDIS Commission.

18. On 19 October 2022, the original decision-maker issued FFG with a notice of intention (NOI) to revoke the registration of FFG and, consequently, make a banning order against FFG. The NOI invited FFG to make submissions in relation to both the proposed revocation and banning order by no later than 5pm (AWST) on 16 November 2022 (notwithstanding that no submission period was required to be afforded to FFG in relation to the proposed banning order, per section 73ZN(8)(b) of the NDIS Act).

19. On 19 October 2022 the original decision-maker also decided to suspend the registration of FFG for a period of 30 days until 19 November 2022. The reasons for noting this become evident below.

20. The evidence supporting the proposed revocation of FFG's registration, proposed banning order to FFG and the suspension of FFG's registration was similar or overlapped considerably.

21. On 31 October 2022, Mr Monks wrote to the original decision-maker to:

    a. confirm he represented FFG; and

    b. seek an extension of 28 days for FFG to provide submissions (presumably in relation to the proposed banning order and revocation of registration, given the suspension of registration had already occurred and did not require a submission period to be afforded to FFG); and

    c. seek a copy of the information held by the NDIS Commission in determining to *suspend the registration of FFG*. I note Mr Monks did not make such a request in relation to the proposed banning order. However, given the evidential similarities noted above, it appears the original decision-maker adopted a broad interpretation to Mr Monk's request and understood him to also be seeking the material that supported the banning order proposed to be made.

    Mr Monks requested the original decision-maker provide a response in relation to these requests within 7 days.

22. The original decision-maker did not provide a response within the requested timeframe.

23. On 15 November 2022, the original decision-maker wrote to Mr Monks granting an extension of time for FFG to make further submissions in relation to the proposed banning order (as well as other regulatory action proposed to be taken against FFG and Mrs Reid). The new deadline for providing submissions was by 5pm (AWST) on 30 November 2022. The original decision-maker declined to provide the further information sought by Mr Monks on the basis that the original decision-maker was satisfied the evidence supporting the proposed banning order against FFG had been adequately disclosed in the notice dated 19 October 2022.

24. On 30 November 2022, Mr Monks provided a single, joint submission that addressed the regulatory action/s proposed to be taken against both FFG and Mrs Reid (including the banning order that is the subject of this internal review). I note those submissions alleged the original

decision-maker did not respond to Mr Monk's requests for an extension of time and further information. This is not correct. I have been provided with a copy of an email, dated 15 November 2022, sent at 6:04pm, from WACompliance@ndiscommission.gov.au to info@tomandcolegal.com.au, which attached the letter described above at paragraph 23, granting an extension of time and declining the request for further information.

25. On 20 December 2022, the original decision-maker made a banning order against FFG, prohibiting it from providing supports and services, directly or indirectly, to NDIS-funded participants for a period of 10 years, under section 73ZN(1)(a) of the NDIS Act, on the basis that the registration of FFG as a registered NDIS provider had been revoked. The banning order took effect from 5:30pm (AWST) on 20 December 2022.

26. On 21 February 2023, Mr Monks, on behalf of FFG, requested an internal review of the decision to make a banning order against FFG.

27. On 21 February 2023, the NDIS Commission emailed Mr Monks a formal acknowledgement in relation to the request for an internal review. The acknowledgment invited FFG to make submissions to be considered as part of the internal review by 5pm on 21 March 2023.

28. On 20 March 2023, Mr Monks provided submissions, on behalf of FFG, to the NDIS Commission.

29. A decision on the internal review was due by 22 May 2023.

30. On 19 May 2023, I wrote to Ms Michelle Frost (Paralegal at Tom & Co Legal Pty Ltd) to inform her that, in the course of conducting the internal review, I had become aware of further relevant information (which did not appear to have been considered by the original delegate when making the decision to issue a banning order against FFG). In order to consider such information, and afford FFG an opportunity to respond, I sought an extension of 1 month to finalise the internal review. Further, the extension was sought on the basis that it would also provide me with an opportunity to carefully and thoroughly consider FFG's submissions in this matter given the concerns FFG had raised in relation to the original decision-maker not properly considering or addressing its submissions.

31. On 24 May 2023, Ms Frost confirmed that FFG did not consent to the proposed extension of time.

32. On 1 June 2023, I wrote to Mr Monks and provided him with a copy of the further relevant material that I had considered as part of the internal review, and I informed him that my preliminary view was to maintain the banning order against FFG. In that letter, I invited FFG to make submissions to me in relation to both the 'additional' material and my proposed decision to maintain the banning order. I requested FFG notify me, by 5 June 2023, whether it wished to make submissions or not, following which I would advise the timeframe for making submissions.

33. On 6 June 2023, Mr Monks verbally advised lawyers for the NDIS Commission that FFG did not wish to make any further submissions and would await the internal review decision.

Findings and Reasons

34. I have considered the original decision made on 20 December 2022.

35. I am of the view that the original decision was the correct and preferable decision to be made, however, I disagree with the reasoning for the original decision.

36. Specifically, the aspects of the original decision that I disagree with are the following:

    a. the original decision adopted the same reasons cited for revoking FFG's registration as a registered NDIS provider on 20 December 2022. As a separate administrative decision, there should have been distinct or independent reasons for the banning order being issued to FFG; and

    b. the original decision was grounded in a broader range of considerations than was necessary (given the point I have made above at paragraph 36(a)). In my view, the decision should have been confined to a narrower and more probative set of material, specifically the evidence that related to FFG's involvement in perpetrating fraud against the National Disability Insurance Scheme (**NDIS**).

37. In summary, my view is that:

    a. by merely reiterating the reasoning for revoking the registration of FFG, the original decision failed to articulate the specific need or reason(s) for imposing a banning order upon FFG (in addition to revoking the entity's registration as a registered NDIS provider). Although section 73ZN(1)(a) did allow the original decision-maker to impose a banning order as he had previously *'revoked the registration of* [FFG] *as a registered NDIS provider'*, the use of this statutory power is discretionary. The Commissioner (or her delegates) are not required to ban each NDIS provider whose registration has been revoked. Rather, a banning order (made under section 73ZN(1)(a)) should, in principle, only be used if there is some further or compelling reason for such an order to be made given an NDIS provider will already be constrained from engaging in the NDIS as a result of the revocation of its registration. In other words, there should be some additional value, protection or benefit that a banning order provides - that is not afforded by the revocation of an NDIS provider's registration – to warrant the imposition of a banning order.

    b. I acknowledge the original decision-maker had a wide breadth of material before him. In my view, however, the evidence relating to FFG's alleged involvement in fraudulent activity (particularly given the quality and volume of such evidence) should have constituted the fundamental reason for banning FFG and prohibiting it from having access to NDIS participants and the broader disability care sector (notwithstanding that there may be others reasons to support the banning order too).

38. In the paragraphs below, I set out my reasons for reaching this decision.

Consideration of relevant material

39. In conducting this internal review, I relied upon a circumscribed amount of the material that was before the original decision-maker, and I also had regard to relevant materials that the

original decision-maker did not consider in the context of deciding to issue a banning order to FFG.

40. As a result, I make the following findings:

40.1. - Background Facts

a. FFG was formerly a registered NDIS provider operating in Western Australia, until 20 December 2022 when a delegate of the NDIS Commissioner revoked the registration of FFG.

b. In relation to FFG, Mrs Reid was:

i. the co-director from 28 August 2020 to 3 January 2021;

ii. the sole director from 4 January 2021 to 20 October 2022; and

iii. the co-director from 21 October 2022 to 1 November 2022.

c. Mr Simon Reid, who is the husband and business partner of Mrs Reid, was a co-director of FFG from 28 August 2020 to 3 January 2021 and from 1 November 2022 to present.

40.2. – Complaints submitted to the NDIS Commission

d. On 10 May 2022, the NDIS Commission received an anonymous complaint (Complaint #: 4-37380907579) via telephone that alleged FFG had been engaging in fraudulent activity with respect to NDIS participant, Ms Meghan Goodwin, by claiming against her NDIS plan for supports or services it had not provided to Ms Goodwin. Specifically, the complainant alleged that:

> *"….Megan was a resident at St Barts and took up residency into Forward focus group home on the 18/01/2022, Vida had been billing for support services dated back from when Megan was still at St Barts, this fraudulent activity has been reported to NDIS fraud reporting."*

e. On 10 August 2022, the NDIS Commission received a Participant Critical Incident (PCI) referral from the NDIA, recording a complaint made by Ms Elanor Smith to the NDIA. In the referral, Ms Smith is identified as an advocate/plan nominee for Ms Goodwin, and she alleges:

> *"….financial abuse of PPT's plan funding, billing for therapy or financial counselling while PPT is at TAFE, No support staff at accommodation at all, PPT has constantly run out of funding and has had 8 plans since January 2021. PPT is scared to report to Police until she is able to find alternative accommodation due to staff and owner aiming their attention at her for reporting issues."*

f. On 20 May 2022, the NDIS Commission received a confidential complaint (Complaint #: 4-37833786005) that raised allegations of FFG engaging in fraudulent activity with respect to NDIS participant, Ms Sarah-Jane Clulow, by claiming against her NDIS plan for

supports or services it had not provided to Ms Clulow. Specifically, the complainant(s) alleged that:

> "….[Ms Clulow's] *new plan started 2 to 3 months ago. There is already no more money for support coordination. The provider has used $7500 worth of Support Coordination services funding.* [Ms Clulow] *will need to go for an emergency review but if she is unable to acquire more funding she will be without a support coordinator and without access to supports. Without access to support* [Ms Clulow] *could be evicted from her accommodation.*
>
> *As the provider runs multiple companies they are double dipping and charging twice under each company. The provider is charging for services not provided. Uses the excuse that Yaran need more money or they will kick the PWD out.*

g. The above complaints were closed by the NDIS Commission following either:

   i. liaison with the NDIA who is responsible for investigating allegations of NDIS fraud; and / or

   ii. the NDIS Commission suspending the registration of FFG; and / or

   iii. the commencement of legal proceedings relating to the alleged fraud.

40.4. – Sworn Statements of Ms Goodwin and Ms Clulow

h. On 11 October 2022, Ms Clulow provided a sworn statement to the NDIA, which alleges (at paragraphs 13-18) that in relation to her NDIS plan:

   i. FFG submitted duplicate invoices for supports and services;

   ii. FFG submitted invoices in relation to supports and services that it had not provided to Ms Clulow; and

   iii. FFG overcharged or inflated the amount payable for supports and services it provided.

i. On 12 October 2022, Ms Goodwin provided a sworn statement to the NDIA. The statement of Ms Goodwin seems to allude to, or suggest that FFG fraudulently claimed funds from her NDIS plan (at paragraphs 25 - 26). However, those parts of Ms Goodwin's statement are equivocal in their assertion of fraud. As such, I note the following points made by Ms Goodwin, but attribute minimal weight to them:

   i. Ms Goodwin only received short term accommodation (STA) or respite supports and services from FFG on two occasions, the first being in early April 2022 for 5 days and the second being from 22 April 2022 to 2 May 2022. Any other claims submitted by FFG for STA *'would be false'*;

   ii. Any claims made by FFG in relation to self-managed building capacity *'is false'*. Ms Goodwin has never received such supports or services from FFG; and

iii. *'If there are any claims for house and yard maintenance, there was no yard'* at the premises in Safety Bay, WA where Ms Goodwin resided nor did FFG provide any *'gardening and house maintenance'* at an earlier premises where Ms Goodwin resided (St Barts, WA) as that facility had *'their own staff there that did that'*.

40.3. – Criminal charges & legal proceedings

j. On 19 October 2022, Mrs Reid was arrested and charged with several offences under sections 135.1(3) and 400.9(1) of the Criminal Code (Cth), which is contained in the Schedule to the *Criminal Code Act 1995* (Cth). Those charges related to Mrs Reid allegedly defrauding the NDIS *and using FFG as a vehicle through which to perpetrate that fraud*.

k. Specifically, the charges were that:

i. between 1 December 2021 and 17 May 2022 at Perth in the State of Western Australia, Mrs Reid dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth);

ii. between 26 December 2021 and 23 June 2022 at Perth in the State of Western Australia, Mrs Reid dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth);

iii. between 30 November 2021 and 8 April 2022 at Perth in the State of Western Australia, Mrs Reid caused payment requests to be submitted, which she knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1(3) of the Criminal Code (Cth); and

iv. between 18 November 2021 and 19 April 2022 at Perth in the State of Western Australia, Mrs Reid caused payment requests to be submitted, which she knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1(3) of the Criminal Code (Cth).

l. In the criminal proceedings relating to these charges, the NDIA lodged a Statement of Material Facts, dated 19 October 2022, which set out the facts supporting the charges (**the SoFM**). The SoFM alleges that, between 26 November 2021 and 22 June 2020, Mrs Reid and Mr Reid caused 81 false payment requests to be submitted against the NDIS plans of Ms Goodwin and Ms Clulow, with the intention of dishonestly causing a loss to the Commonwealth.

m. In considering the SoFM, I particularly had regard to the following allegations:

i. Mrs Reid and Mr Reid were joint signatories to company bank accounts for FFG, namely:

   - ANZ Bank account numbered 016253 152003884 (**the FFG ANZ account**); and
   - Westpac Bank account numbered 036032 736973 (**the FFG Westpac account**).

ii. between 3 February 2021 and 1 September 2022, numerous complaints were made to the NDIA in relation to the conduct and claiming patterns of FFG.

iii. on 1 September 2022, the NDIA commenced an investigation into the claims submitted by FFG.

iv. The NDIA's investigation discovered the matters set out below.

v. on 30 November 2021, the NDIA issued a new plan for NDIS participant, Ms Meghan Goodwin. On the same day, Mrs Reid contacted the NDIA and requested a copy of the new plan for Ms Goodwin, which was emailed to her. Within an hour of making that call, FFG made three separate claims for payment in relation to supports and services purportedly provide to Ms Goodwin. The claims were submitted against the plan expiring on 30 November 2021. On 1 December 2021, the NDIA made a payment of $43,004.60 into the FFG ANZ account. In my view, the claims described in the SoFM appear to be excessive and falsified. For example, the claims included 398 hours of house cleaning between 15 October 2021 and 30 November 2021 – this equates to 8.46 hours of cleaning every day for 47 days.

vi. Zettai Pty Ltd (trading as Assist Plan Managers) (**Assist**), a registered NDIS provider that performs the services of a Plan Manager, at various times received invoices from FFG for supports or services purportedly provided to various NDIS participants. Assist would then make claims to the NDIA for those supports or services, receive funds from the NDIA, and then forward those funds to FFG.

vii. between 30 December 2021 and 20 April 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to Ms Goodwin. The claims resulted in the payment of $5979.64 to Assist, who subsequently transferred those funds to the FFG ANZ Account.

viii. Ms Goodwin has provided a witness statement that she did not receive the supports or services purportedly provided in the claims referred to above.

ix. an NDIA forensic accountant examined (among other things) the statement of Ms Goodwin, NDIS payments records and banks statements for the FFG ANZ account. The NDIA forensic accountant calculated that the value of claims submitted by FFG where no support or service was provided to Ms Goodwin to be $127,475.30. The SoFM seems to indicate that $78,491.06 of this sum was

paid to an associated entity of FFG, namely Hybrid Hive Pty Ltd, and to that extent, I have disregarded that proportion of the alleged fraud.

x. the NDIA alleges that Mrs Reid, therefore, received money reasonably suspected of being the proceeds of crime.

xi. between 24 November 2021 and 22 April 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to Ms Clulow. The claims resulted in the payment of $86,192.60 to Assist, who subsequently transferred those funds to the FFG ANZ Account.

xii. between 25 May 2022 and 22 June 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to Ms Clulow. The claims resulted in the payment of $33,816.88 to Assist, who subsequently transferred those funds to the FFG Westpac account.

xiii. Ms Clulow has provided a witness statement that she did not receive the supports or services purportedly provided in the claims referred to above.

xiv. an NDIA forensic accountant examined (among other things) the statement of Ms Clulow, NDIS payments records and banks statements for the FFG ANZ account and the FFG Westpac account. The NDIA forensic accountant calculated that the value of claims submitted by FFG where no support or service was provided to Ms Clulow to be $120,009.48.

xv. as a result, the NDIA alleges that Mrs Reid received money reasonably suspected of being the proceeds of crime to the sum of $120,009.48.

xvi. Lastly, a former employee of FFG, Ms Leah Norman, who worked for FFG from 14 December 2020 until October 2021, alleges that Mrs Reid encouraged her to inflate the amount of time she spent coordinating support services for NDIS participants. Ms Norman alleges that Mrs Reid would “invoice bomb”, meaning she would claim for the residual funds left in an NDIS participants plan towards the end of the plan expiry, and Ms Norman fielded complaints from three separate plan managers about this type of claiming.

Conclusion/s in relation to relevant materials

41. In light of the above information, I am satisfied, on the balance of probabilities, that FFG engaged in fraudulent activity, or more specifically, that it was used as a vehicle through which fraud was perpetrated against the NDIS by its key personnel.

42. I give significant weight to the complaints submitted to the NDIS Commission in relation to Ms Goodwin and Ms Clulow, the NDIA’s SoFM and the sworn statement of Ms Clulow as these distinct pieces of evidence all corroborate the same allegation/s of FFG having been involved in defrauding the NDIS over a substantial period of time. The evidence presents a uniform and egregious account of FFG’s systems being used, or FFG’s key personnel systemically submitting false claims for payments against the NDIS plans of NDIS participants.

43. I note FFG has not provided any evidence to negate the fraud alleged above.

44. I also acknowledge there are criminal proceedings relating to this matter currently in process and a verdict has not yet been reached in those proceedings. However, as a national regulator, the NDIS Commission is not constrained from performing its statutory function to protect and safeguard NDIS participants whilst there is pending court action. This is particularly true in circumstances where the NDIS Commission has conducted an independent investigation in accordance with the legislation governing its operations (i.e. the NDIS Act and NDIS Rules) and determined that regulatory action is needed immediately to address a serious risk (i.e. financial abuse of NDIS participants and perpetration of fraud against the NDIS).

45. Another reason why I am not inclined to await the court outcome is that I am satisfied of the veracity of the evidence before me, particularly given:

    a. the evidence consists of, or involved the forensic examination of FFG's bank statements and payments claims submitted by FFG to the NDIA;

    b. the evidence has been gathered and scrutinised by the agency specifically charged with investigating NDIS fraud (i.e. the NDIA) as well as the Australian Federal Police; and

    c. the allegations against FFG have been made by various individuals and entities who have consistently described the same pattern of fraudulent claiming by FFG.

46. I acknowledge FFG has made submissions in relation to the evidence in this matter, and I deal with those below.

The submissions of FFG

47. I have considered the submissions made by Mr Monks, on 30 November 2022 and 20 March 2023.

48. In summary, the submissions of FFG denied the breadth of allegations put forth by the original decision-maker, which were that:

    a. FFG was providing support or services to NDIS participants for which it was not registered (i.e. specialist disability accommodation);

    b. the NDIS Commissions had received over 30 complaints regarding the safety and quality of supports and services provided by FFG;

    c. the NDIS Commission held information that suggested FFG does not support individuals to raise complaints they may have directly with FFG, without fear of retaliation from FFG of its key personnel;

    d. FFG does not have a complaints management and resolution system in place that ensures complaints are welcomed, acknowledged, respected and well-managed;

    e. FFG does not employ workers who hold the relevant qualifications for their role/s;

    f. FFG had not been acting with respect for individual rights to freedom of expression, self-determination and decision-making in accordance with applicable laws and conventions. The written communications of FFG with NDIS participants (or their family/support persons) included veiled and direct threats, bullying and harassment;

g. FFG was not acting with integrity, honesty and transparency. FFG had knowingly been submitting false claims for payments to the NDIA, with the intention of dishonestly causing a loss to a Commonwealth entity; and

h. FFG had not taken all reasonable steps to prevent and respond to the exploitation of people with disability. FFG had been seeking to act as both an NDIS provider for, and the authorised person, on behalf of NDIS participants, to engage with the NDIA in relation to their support provision/s and funding decisions.

49. I note that FFG provided a significant amount of information (and evidence to varying extents) to the original decision-maker to support its position.

50. Further, a key aspect of FFG's submissions was the assertion that the original decision-maker had failed to afford procedural fairness to FFG, and had not properly considered the submissions made by FFG when determining to issue the banning order. (Please refer to paragraphs 53-62 below, where I consider these submissions in further detail).

51. As already mentioned above, I have adopted a narrow(er) approach to this internal review and based my decision upon a more circumscribed amount of material than that relied upon by the original decision-maker, that is, I rely specifically upon the fraud that FFG is alleged to have been involved in. Therefore, in my view, it is not necessary or conducive to go into a detailed examination of all of the submissions FFG previously made, *rather I propose to deal solely with the aspects of FFG's submissions that relate to the matters upon which I have formed my decision (given the remaining matters have fallen away)*. Before, proceeding to do so, however, I acknowledge that there were deficiencies and failings by the original decision-maker with respect to:

a. sufficiently providing FFG with information about *some* of the allegations raised against it (noting that FGG was, on balance, adequately informed of the material before the original decision-maker); and

b. *clearly communicating his view or analysis of FFG's submissions*. I have reviewed internal working documents of the NDIS Commission that demonstrate the original decision-maker did consider the submissions of FFG, however, he was not persuaded by them. Unfortunately, the original decision failed to clearly articulate the reason/s for giving minimal weight to FFG's submissions.

52. The submissions made by Mr Monks that relate to the issue of fraud are found in paragraph 6 and on page 11 of the 30 November 2022 submission, and paragraphs 6-7, 16-17, 19-21 and 23-24 of the 20 March 2022 submission.

53. In summary, those submissions were that:

a. FFG emphatically denies the allegation that false claims were submitted for payment to the NDIA with the intention of dishonestly causing a loss to a Commonwealth entity;

b. the matter is currently the subject of criminal proceedings and it is inappropriate for the NDIS Commission to pursue the allegations until the criminal proceedings have been determined;

c. in the interests of *'procedural and substantive justice'*, FFG's *'fitness to hold an NDIS registration'* should not be decided until the criminal proceedings are determined;

d. requesting FFG to provide a response in relation to the alleged fraud is inappropriate and comprises FFG's legal defence;

e. the NDIS Commission's issuance of a banning order to FFG indicates that it has pre-determined FFG is guilty of the alleged fraud although the relevant evidence has not been tested in court yet;

f. FFG is concerned by the linkage of, the banning order made against it, to the criminal proceedings against Mrs Reid, because in the event that Mrs Reid is found not guilty, the banning order would remain in place and unjustifiably penalise FFG after the conclusion of the court matter;

g. In light of the above paragraph, it would have been prudent for the NDIS Commission to maintain the suspension of FFG, rather than issue a banning order to it. Adopting this approach would have protected the interests of all parties, including NDIS participants.

h. The NDIS Commission has not followed its own *Compliance and Enforcement Policy* by issuing the banning order as there were other regulatory actions available to the NDIS Commission to implement, such as the suspension of FFG's registration.

i. The NDIS Commission did not afford FFG procedural fairness (in line with the *National Disability Insurance Scheme (Procedural Fairness) Guidelines 2018*) given it failed to provide FFG with a fair opportunity to respond to all allegations against it.

j. FFG provided names of witnesses who could support its position in relation to the allegations against it. The NDIS Commission did not follow up those witnesses.

54. I consider each of these submissions in turn below.

55. In relation to the submission made by FFG at paragraph 53(a) above, I attributed minimal weight to FFG's categorical denial of the alleged fraud given FFG has not provided any evidence to support or exonerate it.

56. In relation to the submissions made by FFG at paragraphs 53(b), (c) and (d) above, I gave significant weight to these submissions as I acknowledge that the allegations against Mrs Reid (which implicate FFG) have not been proven to the criminal standard. I also acknowledge and respect the presumption of innocence in favour of Mrs Reid in relation to the criminal charges. However, the submissions of FFG ultimately did not dissuade me from my view that a banning order should be made against FFG. As noted earlier, pending court action does not prevent the NDIS Commission (or any national regulator) from performing its statutory function/s in the interim. Rather, it will often be the case that a regulatory body will need to take action for protective purposes until any associated court process is finalised, particularly in circumstances, such as the present, where there may be a serious risk involved in the alleged wrongdoing remaining unaddressed. I consider there would be a significant and indefensible risk associated with FFG being allowed to continue to engage in the NDIS sector until the criminal proceedings are determined - the likelihood of further harm to other NDIS participants to whom FFG may

provide supports or services (i.e. depletion of their NDIS funding) warrants the NDIS Commission imposing a banning order at this time to safeguard NDIS participants.

57. In relation to the submissions made by FFG at paragraph 53(e), I gave considerable weight to this assertion. I appreciate that, in the context of criminal proceedings, the standard of proof that applies is that allegations must be proven beyond a reasonable doubt. I am not purporting to stand in the shoes of the court or perform its judicial task. The making of a banning order is an administrative decision, and it only requires that I be satisfied on the balance of probabilities that FFG has engaged in the conduct alleged, which, I am, given the strength of the evidence referred to above at paragraphs 41 to 45.

58. In relation to the submission made by FFG at paragraph 53(f) above, I attributed minimal weight to FFG's concerns as it seems the entity does not fully understand the legislative framework concerning the issuance of a banning order. In the event that the criminal proceedings determine Mrs Reid is not guilty of the alleged fraud, section 73ZO of the NDIS Act enables the NDIS Commissioner to vary or revoke the banning order against FFG if satisfied that it is appropriate to do so. Further, a variation or revocation can be effected on the Commissioner's own initiative or upon application by FFG.

59. In relation to the submission made by FFG at paragraphs 53(g) and (h) above, I have given these submissions minimal weight as they, similarly, indicate that FFG does not fully understand the legislative provisions regarding the use of suspensions under section 73N of the NDIS Act. Firstly, if the NDIS commission were to suspend the registration of FFG instead of making a banning order against FFG, it would not provide a sufficient level of safeguarding to NDIS participants. A suspension would only prohibit FFG from providing supports and services for which it must be *registered* to deliver to NDIS participants. Meaning, FFG could continue to operate as an unregistered NDIS provider. Secondly, the particular use of the suspension power that is contended for by FFG is not appropriate. A suspension under section 73N is designed to be a temporary action (only in effect for 30 days) to address immediate or significant concerns held in relation to an NDIS provider. It is not intended to be used repeatedly or for a substantial period of time in relation to the same NDIS provider. If a suspension were to be consecutively issued, it would signal that a more permanent or enduring form of regulatory action is, in fact, needed.

60. In relation to the submission made by FFG at paragraph 53(i) above, I gave significant weight to FFG's concerns. As noted above, there were some procedural failings or deficiencies associated with the original decision, which I have given close attention to. To that end, on 1 June 2023, I notified FFG of the decision I was proposing to making on internal review and provided FFG with a copy of the material(s) I had relied upon in forming my preliminary view (*i.e. the sworn statements of Ms Goodwin and Ms Clulow, the NDIA SoFM and a summary of the complaints submitted to the NDIS Commission in relation to Ms Goodwin and Ms Clulow*). Further, I invited FFG to make submissions to me in relation to that information and the proposed internal review decision.

    Most importantly, the matters (or allegations) in relation to which FFG alleges that the original decision-maker failed to observe procedural fairness, notably, do not form part of my decision. I have based my decision on distinct considerations – i.e. the alleged fraud against the NDIS –

which I have ensured FFG has been sufficiently informed of, and given a fair opportunity to respond to.

61. In relation to the submission made by FFG at paragraph 53(j) above, I have attributed no weight to the assertion that the NDIS Commission failed to follow up with witnesses whom FFG identified as being able to support FFG's position. I can find no evidence of FFG having provided the original decision-maker (or I) with the names or contact details of relevant witnesses. I note that, in the context of a separate but related matter, namely the decision to issue a banning order to Mr Reid, Mr Monk claimed to be in possession of evidence that exculpated Mr Reid of the wrongdoing he was alleged to have engaged in, but he did not provide such information (even when requested to do so by the original decision-maker).

Section 73ZN(1)(a) of the NDIS Act – power to issue a banning order where the registration of a registered NDIS provider has been revoked

62. The banning order issued to FFG was made pursuant to section 73ZN(1)(a) of the NDIS Act.

63. The statutory test for issuing a banning order under this provision is singular. The NDIS Commissioner (or her delegate) must have revoked the registration of a person as a registered NDIS provider. Provided that process of revocation had occurred, it was open to the original decision-maker to impose a banning order.

64. I have been provided with a copy of the decision to revoke the registration of FFG on 20 December 2022. I am, therefore, satisfied that it was open to the original decision-maker to issue a banning order to FFG.

65. However, as mentioned above (at paragraphs 36-37) the original decision-maker should have clearly articulated the reason(s) as to why a banning order was warranted in the circumstances. The mere fact that section 73ZN(1)(a) conferred upon the original decision-maker the power to use this statutory tool, did not suffice or justify the use of it.

66. Despite the original decision-maker's omission in this regard, in my view there are compelling reasons to support or warrant the issuance of a banning order to FFG. Those reasons are that:

    a. FFG was, in effect, used by the key personnel of the company as a vehicle to perpetrate the alleged fraud against the NDIS. In my view, where an entity has facilitated the commission of fraud, it is not appropriate for it to remain engaged in the NDIS sector given the serious risk it poses to NDIS participants (i.e. the depletion of their NDIS funding);

    b. The revocation of FFG's registration does not provide a complete or wholesale level of safeguarding to NDIS participants given that FFG remains capable of providing supports and services to NDIS participants for which registration is not a requirement. The classes of supports and services that can be delivered by an unregistered NDIS provider are vast and would enable FFG to have access to the NDIS plans of thousands of NDIS participants.

    c. I acknowledge the making of a banning order in respect of FFG will significantly impact the operations of the business, and I have taken this into account. However, I consider

that the competing interest of ensuring NDIS participants, who may not be able to fully protect their own interests and who have a statutory right to safe services and protection from violence, abuse and exploitation, is paramount and takes precedence over the detriment FFG may experience if banned.

67. Further, I agree with the reasoning expressed by the original decision-maker in paragraphs 27 – 33 of the original decision in so far that he explained the objects of the NDIS Act (contained in section 3) as well as section 4(17)(b) of the NDIS Act are factors which also support the imposition of a banning order against FFG.

68. Therefore, I am satisfied that the making of a banning order against FFG is the correct and preferable decision in the circumstances.

The NDIS Commission Banning Order Policy

69. The *NDIS Commission Banning Order Policy* contemplates that a banning order can be *'issued pending the determination of [criminal] charges'* if, in the circumstances, the information and evidence obtained by the NDIS Commission supports a view that a banning order is warranted and appropriate.

70. For the reasons already noted above (at paragraphs 41 and 45), I consider a banning order against FFG to be warranted and appropriate.

Requirement to take proportionate and risk responsive action under NDIS Act

71. The NDIS Commission is required to conduct compliance and enforcement activities in a risk responsive and proportionate manner (per section 181D(4)(b) of the NDIS Act).

72. The *NDIS Commission's Banning Order Policy* notes that a banning order can have a significant impact on the recipient and on people with disability, and as such, it will be reserved for circumstances where it is needed to protect people with disability from the risk of being exposed to conduct that falls well short of acceptable standards. However, a banning order should not be for a longer period than is considered necessary.

73. Having regard to the criminal proceedings pending against Mrs Reid (which, as noted above, implicate FFG in fraudulent activity), I consider that a banning order for a period of 3 years is a risk responsive and proportionate measure as it corresponds with the amount of time it is reasonably expected to take for the criminal proceedings to be finally determined by the court. Upon determination of those proceedings, the banning order against FFG can be revisited and consideration given to whether it should be varied any further (or revoked entirely). I note a variation or revocation of the banning order could also take place *prior* to the determination of the court proceedings if appropriate or necessary.

74. In the meantime, the banning order will protect NDIS participants from the risk of having fraudulent claims submitted against their NDIS plans and their funding for disability supports or services being depleted.

75. The banning order will, therefore, remain in place until **12:00am on 21 December 2025 (AWST).**

Conclusion

76. The NDIS Provider Register published on the NDIS Commission's website will be updated to reflect the banning order made against FFG was affirmed on internal review.



Sian Leathem

Complaints Commissioner

Delegate of the NDIS Quality and Safeguards Commissioner

NDIS Quality and Safeguards Commission

8 June 2023